

Contestant ID: _____

Time: _____

Rank: _____



BANKING AND FINANCE

(145)

STATE 2023

CONCEPT KNOWLEDGE:

Multiple Choice (25 @ 2 points each) _____ (50 points)

APPLICATION KNOWLEDGE:

Short Answer (11 @ 2 points each) _____ (20 points)

Job 1: Budget Variances (32 @ 1 points each) _____ (32 points)

Job 2: Reconciliation (25 @ 1 points each) _____ (25 points)

TOTAL POINTS _____ **(127 points)**

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You will have 60 minutes to complete your work.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. Which one of these is not a required deduction from gross pay?
 - A. FICA
 - B. Social Security
 - C. Medicare
 - D. Health Insurance
2. A check that has cleared your bank account is a _____ check
 - A. cashier's
 - B. NSF .
 - C. voided
 - D. processed
3. An endorsement in full is the same as a _____.
 - A. blank endorsement.
 - B. restrictive endorsement.
 - C. special endorsement.
 - D. joint endorsement.
4. The NCUA _____.
 - A. oversees the U.S. stock exchanges.
 - B. audits banks and credit unions once a year.
 - C. ensures deposits in U.S. banks.
 - D. ensures deposits in U.S. credit unions.
5. Income stocks _____.
 - A. distribute profits in the form of dividends to shareholders.
 - B. are stocks in young corporations that have higher overall risk.
 - C. are from companies that reinvest profits into their business.
 - D. come with voting privileges.
6. Selling stock from a broker that must be replaced at a later time is _____.
 - A. buying on margin.
 - B. short selling.
 - C. dollar cost averaging.
 - D. day trading.
7. Which of these is false regarding mutual funds?
 - A. Each fund is managed by a professional manager.
 - B. Investors of mutual funds share in both dividends and capital gains.
 - C. They are not as diversified as preferred stock.
 - D. Dividends and capitals gains from the fund can be reinvested in the fund.

8. Each mutual fund's detailed information can be found in the _____.
A. prospectus
B. annual report
C. portfolio
D. general ledger
9. Another name for a pension is _____.
A. defined contribution plan
B. 403(b)
C. defined benefit plan
D. 401(k)
10. What is the earliest age you can withdraw money from an IRA without a penalty?
A. 59
B. 59 ½
C. 65
D. 70
11. What is the grace period on a credit card?
A. The number of days you get to pay the balance by the due date without interest accruing.
B. The number of days past the due date you get to pay the balance without interest accruing.
C. Federal law states the grace period to be 28 days.
D. Federal law states the grace period to be 30 days.
12. Which one of these is not one of the major credit bureaus?
A. Experian
B. TransUnion
C. Affinity
D. Equifax
13. The financial ability to repay a loan is known as _____.
A. capital
B. collateral
C. capacity
D. character
14. The official base range of FICO scores is _____.
A. 300-850
B. 300-1000
C. 500-1000
D. 300-500

15. Which component of the FICO credit score carries the most weight?
 - A. Amounts owed
 - B. Length of credit history
 - C. New credit
 - D. Payment history
16. Requests to the credit bureau for credit history are called _____.
 - A. asks.
 - B. inquiries.
 - C. queries.
 - D. investigations.
17. Which one of these laws protects against discrimination in the evaluation of creditworthiness?
 - A. Fair Debt Collection Practices Act
 - B. Equal Opportunity Act
 - C. Fair Credit Reporting Act
 - D. Consumer Credit Protection Act
18. Which types of bankruptcy clears all debt with the ability to start over?
 - A. Chapter 7
 - B. Chapter 9
 - C. Chapter 11
 - D. Chapter 13
19. Property taxes on a home are based on the _____.
 - A. market value
 - B. appraised value
 - C. assessed value
 - D. estimated value
20. The equity in your home is calculated by _____.
 - A. original price of home less the mortgage balance
 - B. original price of home less the property taxes
 - C. market value of the home less the mortgage balance
 - D. market value of the home less the property taxes
21. An adjustable rate mortgage _____.
 - A. Always increases over the life of the mortgage
 - B. Always decreases over the life of the mortgage
 - C. May increase or decrease over the life of the mortgage
 - D. Is always higher than a fixed rate mortgage
22. Which agency enforces tax laws?
 - A. SEC
 - B. CFPB
 - C. FDIC
 - D. IRS

23. Flat taxes are also known as _____.
A. proportional taxes
B. regressive taxes
C. progressive taxes
D. excise taxes
24. What is something you can deduct from your gross income to arrive at adjusted gross income?
A. Medical expenses
B. IRA contributions
C. Property taxes
D. Moving expenses
25. Taxable interest income would be found on _____.
A. Form W-2
B. Form W-4
C. Schedule C
D. Form 1099

Short Answer (2 points each; total 20 points)

1. Toni earns \$432.75 a week. The social security tax rate is 6.2% and the Medicare tax rate is 1.45%. The state tax is \$10.82/week. She has weekly deductions of \$21.00 for medical insurance and \$30.00 for payroll savings. Her federal taxes per week are \$18.46. Find the following for one week for Toni's week.
- a. Social Security: _____
- b. Medicare: _____
2. How long would it take for \$4,000 to double at a 5.5% interest rate. What interest rate would be required to double \$2,000 in 5 years, rounded to the nearest decimal point?
- a. Years: _____
- b. APR: _____
3. You sell 200 shares of a stock on March 24th @ \$40 per share. The stock was bought one year earlier @ \$38 per share. Find the following.
- a. \$ Profit: _____
- b. ROI: _____

4. On March 10th, 2023, you invest \$2,000 into a 2-year CD with terms of 2.5% compounded annually. Find the total interest earned and the maturity value in two years of your CD.

a. Total Interest Earned: _____

b. Maturity Value: _____

5. The Jackson Company is planning an expansion program. To finance the program, they plan to sell 300,000 shares of stock at \$41.50/share. The underwriting commission will be 6.5% of the value of the stocks. All fees and legal costs are estimated to be \$112,050. If all the shares of stock are sold, what are the net proceeds the Jackson Company will receive?

a. Value of Commission and Other Expenses: _____

b. Net Proceeds: _____

JOB 1 - Budget Variances – 32 Points

Complete the table below by calculating Total Income, Expenses, and Savings + Expenses, and then calculating the differences in budgeted and actual both in dollars and percentages.

Income	Budgeted	Actual	Favorable/ (Unfavorable) Difference	Favorable/ (Unfavorable) % Variance
Work	\$120.00	\$110.00	7.	20.
Allowance	40.00	50.00	8.	21.
Lunch Money	60.00	60.00	9.	22.
Savings Interest	2.00	2.00	10.	23.
Total Income	1.	4.	11.	24.
Savings				
Deposit to Account	22.00	22.00	12.	25.
Expenses				
Gifts	20.00	18.00	13.	26.
Clothes/Shoes	60.00	70.00	14.	27.
Loan Payments	20.00	22.00	15.	28.
Lunches	60.00	55.00	16.	29.
Entertainment	40.00	35.00	17.	30.
Total Expenses	2.	5.	18.	31.
Total Savings + Expenses	3.	6.	19.	32.

JOB 2 - Reconcile a Bank Statement – 25 Points

Calculate the balance for the check register. Show the checks or deposits that have cleared the bank by placing a (✓) in the booked column. Record the service charge on the last line of the register. Then reconcile the bank statement.

Bank Statement Information:

Bank Statement Balance \$830.00

Service Charge \$3.00

No Outstanding Deposits

Outstanding Checks # 120, #121, #123

CHECK REGISTER						Balance
Number	Date	Description	Payment	Booked (✓)	Deposit	\$914.32
116	1/27	George's Foods	37.92			1.
117	2/1	Rent	525.00			2.
---	2/2	Paycheck (Deposit)			600.26	3.
118	2/3	Cash	60.00			4.
119	2/9	Phone bill	58.34			5.
120	2/15	Clothes	42.27			6.
---	2/18	Mom's check (Deposit)			25.00	7.
121	2/20	Bakery Yum	16.95			8.
122	2/24	CD City	25.32			9.
123	3/1	Rent	525.00			10.
		11.	12.			13.

OUTSTANDING CHECKS

NUMBER	AMOUNT
14.	15.
16.	17.
18.	19.
Total	20.

ENDING BALANCE
SHOWN
ON BANK STATEMENT

21. _____

PLUS DEPOSITS
NOT SHOWN ON THIS
STATEMENT

22. _____

SUB-TOTAL

23. _____

LESS TOTAL
OUTSTANDING CHECKS

24. _____

EQUALS ADJUSTED
ENDING BALANCE

25. _____